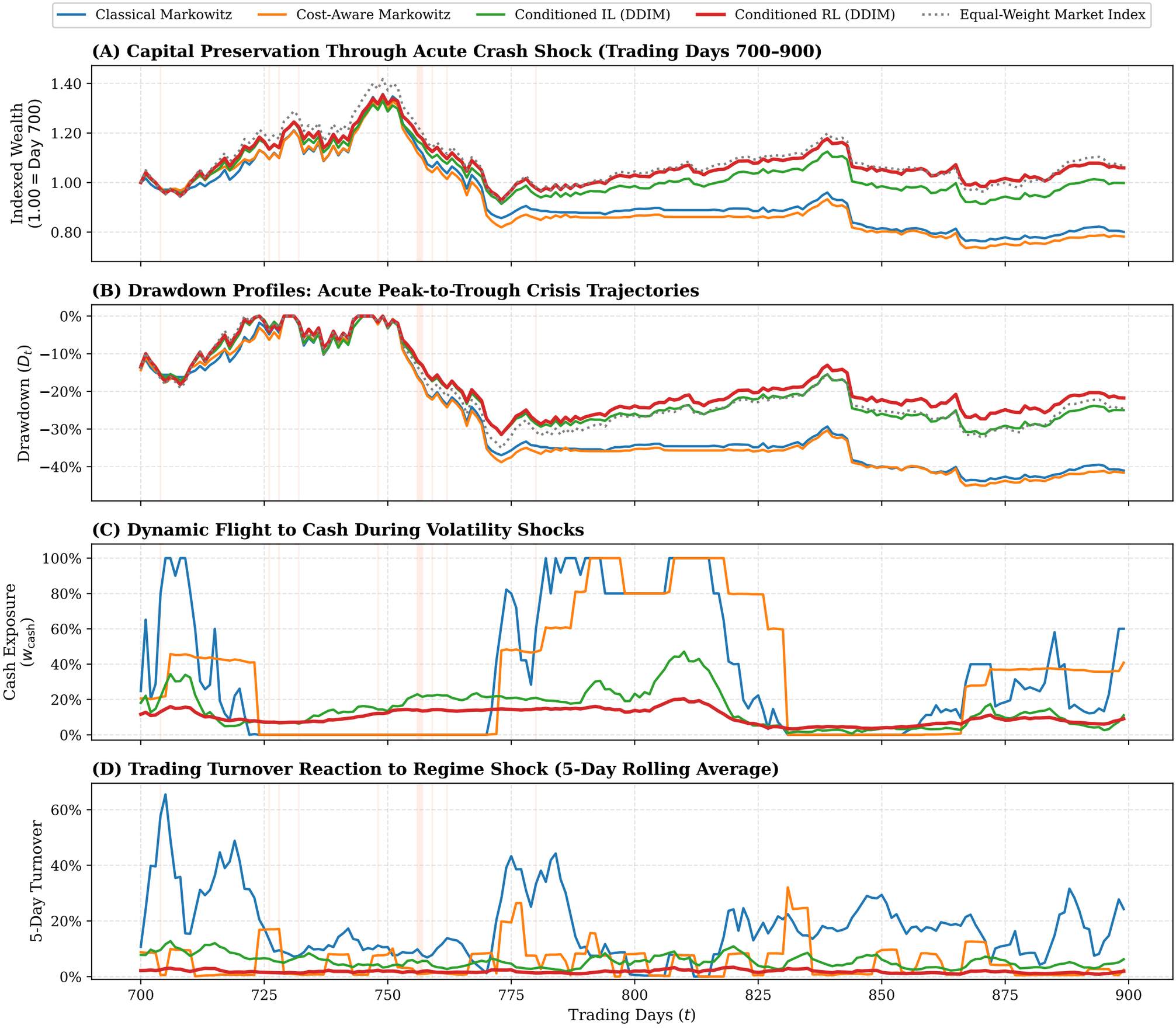

Classical Markowitz
Cost-Aware Markowitz
Conditioned IL (DDIM)
Conditioned RL (DDIM)
Equal-Weight Market Index
(A) Capital Preservation Through Acute Crash Shock (Trading Days 700–900)
Indexed Wealth
(1.00 = Day 700)
1.40
1.20
1.00
0.80
(B) Drawdown Profiles: Acute Peak-to-Trough Crisis Trajectories
Drawdown (D_t)
0%
−10%
−20%
−30%
−40%
(C) Dynamic Flight to Cash During Volatility Shocks
Cash Exposure
(w_{cash})
100%
80%
60%
40%
20%
0%
(D) Trading Turnover Reaction to Regime Shock (5-Day Rolling Average)
5-Day Turnover
60%
40%
20%
0%
700
725
750
775
800
825
850
875
900
Trading Days (t)